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Subject Code: BMBFM04

Roll No:

MBA

(SEM. IV) THEORY EXAMINATION 2025-26

BEHAVIOURAL FINANCE

TIME: 3 HRS

M.MARKS: 70

Note: 1. Attempt all Sections. If require any missing data; then choose suitably.**SECTION A**1. Attempt *all* questions in brief.

2x7 = 14

(a)	Differentiate between behavioral finance and conventional finance.
(b)	Define the concept of anchoring in financial decision making.
(c)	What is meant by self-deception?
(d)	Define the three forms of market efficiency.
(e)	Define the term "noise trading" in the context of market efficiency.
(f)	List any two factors that impede the correction of overconfidence.
(g)	What is the main idea behind the "size effect" in market outcomes?

SECTION B2. Attempt any *three* of the following:

7 x 3 = 21

(a)	Describe the intellectual underpinnings contributing to the rise of the Rational Market Hypothesis.
(b)	Discuss the Two Systems Approach to understanding the human thought process.
(c)	Discuss the core components of Prospect Theory and its difference from Expected Utility Theory.
(d)	Explain the causes of overconfidence and its implications for individual investors.
(e)	What are the central tenets of value investing?

SECTION C3. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Discuss the foundations of rational finance, focusing on utility maximization and relevant information.
(b)	Explain the transition from neoclassical economics to behavioral psychology in capital markets.

4. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Elaborate on how familiarity heuristics and hyperbolic discounting affect investor choices.
(b)	Explain the "success equation" and the difficulty of untangling skill from luck in business.

5. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Describe the concept of mental accounting and explain its influence on how people spend or save money.
(b)	Discuss the theoretical challenges to the efficient markets hypothesis, including limits to arbitrage.

6. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Provide a portrait of an individual investor and explain how emotions impact their financial decisions.
(b)	List and explain the basic guidelines for overcoming psychological biases in investment philosophy.

7. Attempt any *one* part of the following:

7 x 1 = 7

(a)	Explain market anomalies such as momentum, reversal, and post-earnings announcement drift.
(b)	Evaluate the strategies used by well-known value investors and the academic research supporting them.